

impulsive waves unfold between parallel lines except for fifth waves, which occasionally unfold between converging lines in a form called a “diagonal triangle.” Variations in corrective patterns involve repetitions of the three-wave theme, creating more complex structures that are named with such terms as “zigzag,” “flat,” “triangle” and “double three.” Waves two and four typically “alternate” in that they take different forms. These forms and concepts are illustrated just before the start of Chapter 2.

Each type of market pattern has a name and a geometry that is specific and exclusive under certain rules and guidelines, yet variable enough in other aspects to allow for a limited diversity within patterns of the same type. If indeed markets are patterned, and if those patterns have a recognizable geometry, then regardless of the variations allowed, certain relationships in extent and duration are likely to recur. In fact, real world experience shows that they do. The most common and therefore reliable wave relationships are discussed in *Elliott Wave Principle*, by A.J. Frost and Robert Prechter.

Applying the Wave Principle

The goal of any analytical method is to identify market lows suitable for entering positions on the long side (or covering shorts) and market highs suitable for taking profits (or selling short). The Elliott Wave Principle is especially well suited to these functions. Nevertheless, the Wave Principle does not provide *certainty* about any one market outcome; rather, it provides an objective means of assessing the relative *probabilities* of possible future paths for the market. At any time, two or more valid wave interpretations are usually acceptable by the *rules* of the Wave Principle. The rules are highly specific and keep the number of valid alternatives to a minimum. Among the valid alternatives, the analyst will generally regard as preferred the interpretation that satisfies the largest number of *guidelines* and will accord top alternate status to the interpretation satisfying the next largest number of guidelines, and so on.

Alternate interpretations are extremely important. They are not “bad” or rejected wave interpretations. Rather, they are valid interpretations that are accorded a lower probability than the preferred count. They are an essential aspect of trading with the Wave Principle, because in the event that the market fails to follow the preferred scenario, the top alternate count becomes the investor’s backup plan.